Example: Suppose you execute the following strategy.

Particulars	Strike Price	Price
Buy Nifty call	25,000	₹50
Buy Nifty put	25,000	₹80

Let us calculate the cost and rewards.

Premium paid = ₹130
Profits if Nifty is:
Higher than: 25,000 + 130 = 25,130
Lower than: 25,000 - 130 = 24,870

Let us see what happens in different scenarios.

Particulars	Nifty at 25,000	Nifty above 25,130	Nifty below 24,870
Outcome of buying Nifty 25,000 call	Premium of ₹50 lost	Gain = Nifty – 25,000 - ₹50	Premium of ₹50 loss
Outcome of buying Nifty 25,000 put	Premium of ₹80 lost	Premium of ₹80 lost	Gain = 25,000 – Nifty - ₹80
Net outcome	Loss of ₹130	Unlimited Profit	Unlimited Profit